

25STCV21728 25STCV21728

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Case Number: 25STCV21728 Hearing Date: August 11, 2026 Dept: 617

Dept.

617

Date:

8-11-26

Case

#: 25STCV21728

Trial

Date: None Set

DEMURRER

MOVING

PARTY: Defendants, Aetna Health of California, Inc., Aetna Life Insurance Company, Aetna Better Health of California, Inc., and Aetna Health and Life Insurance Company

RESPONDING

PARTY: Plaintiff, Pasteur, Inc. d/b/a Sinai Labs

RELIEF

REQUESTED

Demurrer

to Each Cause of Action in Complaint

SUMMARY
OF ACTION

Plaintiff

Pasteur,

Inc. d/b/a Sinai Labs filed the instant action against Defendants Aetna Health of California, Inc., Aetna Life Insurance Company, Aetna Better Health of California, Inc., and Aetna Health and Life Insurance Company, alleging that Defendants have not fully paid for COVID-19 testing and services Plaintiff allegedly provided to Defendants' insured or members during the pandemic. Defendants' reimbursement obligation is predicated on section 1342.2 of the Health and Safety Code and section 10110.7 of the Insurance Code. Under both provisions, health care plans are required to cover the costs for COVID-19 testing "regardless of whether the services are provided by an in-network or out-of-network provider." (Health & Saf. Code, § 1342.2, subd. (a); Ins. Code, § 10110.7, subd. (b).) Plans must reimburse out-of-network providers for testing and services "in an amount that is reasonable, as determined in comparison to prevailing market rates for testing items or services in the geographic region where the item or service is rendered." (Health & Saf. Code, § 1342.2, subd. (a)(4); Ins. Code, § 10110.7, subd. (b)(4).) "Beginning six months after the federal public health emergency expires [i.e., the COVID-19 pandemic], a health care service plan shall no longer be required to cover the cost sharing for COVID-19 diagnostic and screening testing and health care services related to testing when delivered by an out-of-network provider, except as otherwise required by law." (Health & Saf. Code, § 1342.2, subd. (a)(5); Ins. Code, § 10110.7, subd. (b)(5).)

Plaintiff

asserts claims for: (1) Violation of California Business & Professions Code § 17200 et seq.; (2) Negligence; (3) Goods and Services Rendered; (4) Money Had and Received; (5) Open Book Account; (6) Account Stated; (7) Unjust Enrichment; (8) Breach of Implied-in-Law Contract; (9) Breach of Implied-in-Fact Contract; (10) Quantum Meruit; (11) Violation of California Health & Safety Code § 1342.2/California Insurance Code § 10110.7; and (12) Declaratory Relief.

RULING: Sustained in
part.

Defendants

demur to each cause of action in Plaintiff's complaint. They argue that

Plaintiff fails to sufficiently state its claims and the complaint is uncertain. Plaintiff opposes the demurrer, denying the complaint is uncertain and maintaining the sufficiency of the allegations in support of its claims. Defendants' demurrer is sustained without leave to amend as to the negligence, violation of Health & Safety Code/Insurance Code, money had and received, unjust enrichment, and declaratory relief claims. The demurrer is sustained with leave to amend as to the implied-in-fact contract, open book account, and account stated claims. The demurrer is overruled as to the UCL, quantum meruit, goods and services rendered, and implied-in-law contract claims.

A

demurrer is an objection to a pleading, the grounds for which are apparent from either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc., § 430.30, subd. (a); see also *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The purpose of a demurrer is to challenge the sufficiency of a pleading "by raising questions of law." (*Postley v. Harvey* (1984) 153 Cal.App.3d 280, 286.) "In the construction of a pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties." (Code Civ. Proc., § 452.) The court "treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law" (*Berkley v. Dowds* (2007) 152 Cal.App.4th 518, 525.) In applying these standards, the court liberally construes the complaint to determine whether a cause of action has been stated. (*Picton v. Anderson Union High School Dist.* (1996) 50 Cal.App.4th 726, 733.) "If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer." (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38.)

"A

demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." (*Khoury v. Maly's of Cal., Inc.* (1993) 14 Cal.App.4th 612, 616; *Williams v. Beechnut Nutrition Corp.* (1986) 185 Cal.App.3d 135, 139, fn. 2 ["[U]nder our liberal pleading rules, where the complaint contains substantive factual allegations sufficiently apprising defendant of the issues it is being asked to meet, a demurrer for uncertainty should be overruled or plaintiff given leave to amend".])

The

Court first considers and rejects Defendants' uncertainty arguments. Defendants argue the complaint fails for uncertainty because Plaintiff does not provide the dates services were rendered or when Defendants issued remittances and does not identify the plans and policies of Defendants' enrollees. The law does not require Plaintiff to provide such details. The complaint sufficiently apprises Defendants of the issues they are being asked to meet. The demurrer for uncertainty is therefore overruled.

First

Cause of Action: Violation of California Business & Professions Code § 17200 et seq.

The

demurrer to the UCL claim is overruled. Defendants argue that Plaintiff's UCL claim fails because it does not seek appropriate equitable relief and does not plead actionable violations. But Plaintiff may seek restitution under the UCL for Defendants' alleged violation of its duty under the Health and Safety Code and Insurance Code to reimburse Plaintiff for the reasonable amount of its testing services. (*Long Beach Memorial Medical Center v. Kaiser Foundation Health Plan, Inc.* (2021) 71 Cal.App.5th 323, 343.) Those statutory violations form the basis for the UCL claim. Defendants' demurrer to this claim is thus overruled.

Second

Cause of Action: Negligence

The

demurrer to the negligence claim is sustained. Defendants contend that Plaintiff's negligence claim fails because Defendants did not owe it a duty of care. Plaintiff's position that a duty was owed via Defendants' statutory reimbursement obligation was rejected by the Court of Appeal in *Long Beach Memorial Medical Center*. There, the Court held that a health plan does not have a legal duty "not to negligently or intentionally underreimburse a hospital or other medical provider" for emergency medical services provided to its enrollee. (*Long Beach Memorial Medical Center*, supra, 71 Cal.App.5th at p. 341.) The same applies to Defendants' alleged failure to reimburse Plaintiff for COVID-19 testing services. Plaintiff's attempt to distinguish *Long Beach Memorial Medical Center* on the basis that the

court's determination was due to "indeterminacy in rate-setting" is unavailing because those same concerns are present here where Defendants are statutorily required to reimburse Plaintiff "in an amount that is reasonable." (Health & Saf. Code, § 1342.2, subd. (a)(4); see Long Beach Memorial Medical Center, supra, 71 Cal.App.5th at pp. 336-41.) The demurrer to this claim is therefore sustained without leave to amend.

Eleventh

Cause of Action: Violation of California Health & Safety Code § 1342.2/California Insurance Code § 10110.7

Defendants

argue that Plaintiff's claim under the reimbursement provisions of the Health and Safety Code and Insurance Code fails because those provisions do not provide it with a private right of action. It further contends that Plaintiff's claims for unjust enrichment, breach of implied-in-fact contract, quantum meruit, and implied-in-law contract fall with it.

The

demurrer to the eleventh cause of action is sustained because there is no private right of action under either Health and Safety Code section 1342.2 or Insurance Code section 10110.7. "[A] private right of action exists only if the language of the statute or its legislative history clearly indicates the Legislature intended to create such a right to sue for damages." (Vikco Ins. Services, Inc. v. Ohio Indemnification Co. (1999) 70 Cal.App.4th 55, 62.) No legislative intent to create a private right of action for providers exists here. Neither provision explicitly provides for such a right of action. That the Health and Safety Code and the Insurance Code vest enforcement in the Department of Managed Health Care and Insurance Commissioner, respectively, also cuts against a finding of a private right of action. (Health & Saf. Code, § 1387, subd. (a)(1); Ins. Code, §§ 12926, 12928.6 subd. (a); see Thornburg v. El Centro Regional Medical Center (2006) 143 Cal.App.4th 198, 205.)

The

Court also finds persuasive the Ninth Circuit's analysis in Saloojas, Inc. v. Aetna Health of California Inc. of a similar reimbursement provision in the federal Coronavirus Aid, Relief, and Economic Security Act (CARES Act). Like here, the statutory scheme required insurers to cover COVID-19 testing and to reimburse out-of-network providers at a publicly listed "cash price." (Saloojas,

Inc. v. Aetna Health of Cal., Inc. (9th Cir. 2023) 80 F.4th 1011, 1013.) The court found that the CARES Act did not create a private right of action for providers because, in addition to granting enforcement power in the Secretary of Health and Human Services, the focus of the provision was on health plans and insurers as regulated parties. (Id. at pp. 1015-16.) Providers were only the “object” of the reimbursement obligation. (Id. at p. 1015.) Similarly, here, the focus of section 1342.2 is requiring health care plans to cover testing costs and to reimburse providers for such costs and providers are only the object of that payment obligation. Thus, neither section 1342.2 of the Health and Safety Code nor section 10110.7 of the Insurance Code create a private right of action for providers like Plaintiff. Defendants’ demurrer to this claim is therefore sustained without leave to amend.

The absence of a private right of action does not, however, preclude recovery for unpaid or underpaid reimbursements under common law theories such as quantum meruit. Courts have consistently reaffirmed a provider’s ability to recoup reimbursement under such theories. (Santa Clara v. Superior Court (2023) 14 Cal.5th 1034, 1044 & fn. 4; Long Beach Memorial Medical Center, supra, 71 Cal.App.5th at p. 335; Bell v. Blue Cross of Cal. (2005) 131 Cal.App.4th 211, 216-18.) Plaintiff’s implied contract and quantum meruit claims therefore do not fail due to the lack of a private right of action under the statutory provisions. Because Defendants’ demurrer to Plaintiff’s claim for implied-in-law contract is based solely on the absence of a private right of action, the demurrer to that claim is overruled.

Ninth

Cause of Action: Implied-in-Fact Contract

The

demurrer to the implied-in-fact contract claim is sustained. As Defendants argue, Plaintiff fails to allege that the parties agreed on the rate to be paid for the testing services, an essential term of the alleged implied contract. (Allied Anesthesia Medical Group, Inc. v. Inland Empire Health Plan (2022) 80 Cal.App.5th 794, 809.) While Plaintiff identifies its publicly posted cash price of \$475 for a PCR test, it fails to allege that it communicated this price to Defendants before performing services or that Defendants agreed to the posted price. (See id. at pp. 809-10 [noting absence of allegations regarding plaintiffs’ communication of its “usual and customary rates” before providing services].) Because there is a reasonable possibility that Plaintiff can amend

its complaint to allege an agreement at such a price, it is granted leave to amend.

Tenth

Cause of Action: Quantum Meruit

The

demurrer to the quantum meruit claim is overruled. Defendants argue that Plaintiff's claim fails because it does not allege Defendants' express or implied request for testing services and that the services were intended to and did benefit Defendants. (*Pacific Bay Recovery, Inc. v. Cal. Physicians' Services, Inc.* (2017) 12 Cal.App.5th 200, 214-15.) However, as mentioned before, California law recognizes a provider's ability to recoup reimbursements for services rendered under a quantum meruit theory. Contrary to Defendants' claim, the Court does not find that this theory of recovery is limited to the emergency services context where the provider has a statutory duty to provide such services. Rather, the quantum meruit claim arises from the provider's provision of services and the health plan's statutory duty to provide reimbursement. (See *Bell*, supra, 131 Cal.App.4th at pp. 217-19.) Here, Plaintiff alleges its provision of testing services to Defendants' enrollees, Defendants' statutory duty to provide reimbursements at a reasonable amount, and Defendants' failure to provide said reimbursements. [Compl. ¶¶ 32-35, 137-38, 141-42.] This is sufficient to plead its quantum meruit claim. (See *Bell*, supra, 131 Cal.App.4th at p. 219.) The demurrer to this claim is thus overruled.

Third

Cause of Action: Goods and Services Rendered

The

demurrer to the goods and services rendered common count is overruled. Defendants argue that goods and services rendered is not a standalone claim but merely a measure of recovery under quantum meruit and thus fails for the same reasons as Plaintiff's quantum meruit claim. The lone authority Plaintiff cites does not support a lack of a claim for goods and services rendered (see *Advanced Choices, Inc. v. State Dept. of Health Services* (2010) 182 Cal.App.4th 1661, 1673) and, as explained above, Plaintiff's quantum meruit claim is not subject to demurrer. Defendants' demurrer to this claim is thus overruled.

Fourth

Cause of Action: Money Had and Received

The

demurrer to the common count for money had and received is sustained.

Defendants argue this claim fails because Plaintiff does not allege Defendants received money belonging to Plaintiff. "A cause of action is stated for money had and received if the defendant is indebted to the plaintiff in a certain sum 'for money had and received by the defendant for the use of the plaintiff.'" (Schultz v. Harney (1994) 27 Cal.App.4th 1611, 1623.) It is viable "wherever one person has received money which belongs to another, and which in equity and good conscience should be paid over to the latter." (Avidor v. Sutter's Place, Inc. (2013) 212 Cal.App.4th 1439, 1454.) Plaintiff claims an indirect retainment of money received from Defendants' enrollees in the form of premiums which, "in part," are intended to cover the costs of the testing services. [Compl. ¶ 105.] But this connection between premiums paid and reimbursements is too attenuated to support this claim, especially considering enrollees pay premiums to obtain coverage for themselves and not to specifically benefit Plaintiff. The demurrer to this claim is therefore sustained without leave to amend.

Fifth

Cause of Action: Open Book Account

The

demurrer to the open book account common count is sustained. Defendants argue this claim fails because Plaintiff does not allege a contractual relationship between the parties or an agreement to maintain an open book account. An open book account is a "detailed statement, kept in a book, in the nature of debit and credit, arising out of contract or some fiduciary relation." (Joslin v. Gertz (1957) 155 Cal.App.2d 62, 65-66.) There must be some agreement, express or implied, that an account would be created. (Maggio, Inc. v. Neal (1987) 196 Cal.App.3d 745, 752.) Here, Plaintiff does not allege an agreement with Defendants to create an open book account concerning the transactions for testing services. Because there is a reasonable possibility that Plaintiff can cure this defect, it is granted leave to amend. Defendants cite no authority to support or elaborate on their claim that the nature of health insurance precludes the creation of an open book account here.

Sixth

Cause of Action: Account Stated

The

demurrer to the account stated common count is sustained. Defendants contend Plaintiff fails to plead this claim because it does not allege an agreement on the final balance due. An account stated requires “an agreement between the parties, express or implied, on the amount due.” (Zinn v. Fred R. Bright Co. (1969) 271 Cal.App.2d 597, 600.) Plaintiff does not allege any agreement on the amount due between the parties. Because there is a reasonable possibility that Plaintiff can cure this defect, it is granted leave to amend.

Seventh

Cause of Action: Unjust Enrichment

The

demurrer to the unjust enrichment claim is sustained without leave to amend. Defendants are correct that unjust enrichment “is not a cause of action.” (Rutherford Holdings, LLC v. Plaza Del Rey (2014) 223 Cal.App.4th 221, 231.)

Twelfth

Cause of Action: Declaratory Relief

The

demurrer to the declaratory relief claim is sustained. Defendants contend that declaratory relief is unavailable because Plaintiff seeks relief for prior unpaid claims involving cost-covering and reimbursement obligations that are no longer in effect. Declaratory relief is inappropriate where “the rights of the complaining party have crystallized into a cause of action for past wrongs,” “a money judgment will fully resolve the dispute,” and “no continuing relationship exists to justify a declaration of future rights.” (Cardellini v. Casey (1986) 181 Cal.App.3d 389, 396.) Here, Plaintiff alleges past wrongs involving unpaid and underpaid reimbursements, which can be relieved through a money judgment. No continuing relationship exists between the parties as to the testing reimbursements because Defendants are no longer required to cover the costs for testing performed by out-of-network providers like Plaintiff. (Health & Saf. Code, § 1342.2, subd. (a)(5); Ins. Code, § 10110.7, subd. (b)(5).) The demurrer to this claim is thus sustained without leave to amend.

Plaintiff

is granted 30 days' leave to amend. Plaintiff may only add facts in support of the successfully challenged claims. (Harris v. Wachovia Mortgage, FSB (2010) 185 Cal.App.4th 1018, 1023.) If

Plaintiff declines or fails to file an amended complaint, Defendants shall answer the operative complaint within 10 days of the lapsed deadline. Any new causes of action outside the scope of the order may be addressed via a motion to strike.

Defendants
to give notice.